The foreign buyers from the US and the European Union, destination of more than 50 per cent of Pakistan's exports, were reluctant to visit Pakistan due to travel advice. Many reputable international buying houses shifted to Singapore, Hong Kong and India (Hashmi, 2008).

After the meteoric rise in suicide bombings since mid-2007, there had been further decline in business activity and travelling to Pakistan. British Airways suspended its flights to Pakistan after the Marriot Hotel bombing (*Times Online*, 2008). After the initiation of operations against the militants in Swat and FATA, more airlines like Qatar Airlines, Gulf Air and Etihad Airways suspended their flights to Peshawar (*The Nation*, 2009).

In 2009, following the military operations in Swat, there were more than three million internally displaced people (IDP). The expenditure on their support and rehabilitation was a substantial strain on the fragile economy. The annual cost of relief efforts was estimated at about Rs 50 billion for the IDP population, but the cost of resettlement and reconstruction would be many times higher (Aziz, 2009). Moreover, the Pakistani population, 33 per cent of which was living below poverty line, was facing the fallout of 'the surge in the international price of oil and the surge in international food prices'. The relentless electricity outages adversely affected the businesspeople and public alike (*International Herald Tribune*, 2008).

In 2011, Pakistan's economy fell to a 40-year low and economic growth slowed to an average of less than 3 per cent per annum over the last four years. Slower economic growth meant that fewer Pakistanis were getting jobs and climbing out of poverty. It might not be the result of terrorism alone. It had fallen to this fragility due to fiscal indiscipline, imprudent fiscal policy, political instability and mismanagement of the power sector (*The News International*, 2011). However, deterioration in security environment was one big cause of the economic downfall. Terrorism stifled the economic growth and created a bad investment climate. There had been a steady increase of both capital and manpower from the country, weakening the economy further. 'The failing economy destroys jobs and incomes, creates more poverty and destabilises society leading to fuel riots, electricity riots, water riots, food riots, etc. This creates favourable conditions for criminals and terrorists, further impacting negatively on the overall security' (Sehgal, 2011).